

Investors Rush to REITs in Sizzling New-Issues Market

Real-estate developers and Wall Street securities firms are scrambling to assemble dozens of new real-estate investment trusts, one of the hottest areas of Wall Street's new-issue boom.

At \$5.32 billion, the amount of REIT stock sold this year is triple the total for all of 1992, according to Securities Data Co. In the first three weeks of August alone, \$1.8 billion in REITs were sold, accounting for 32% of all new stock issues.

"Every single real-estate entrepreneur, unless he's in a coma, is running around wanting to form a REIT," says

Many longtime developers need the capital to stave off financial disaster; others are simply seizing the opportunity to raise money on favorable terms to scoop up bargains.

Some real-estate industry veterans warn that the REIT craze is a bubble bound to pop. "It's another Wall Street promotional fiasco. The real estate isn't worth what it's being sold for,"

REITs are being snapped up by "Mom and pop investors, uninformed people who are too anxious to get yield. But the [REITs' prospective] growth rate is not there. And many of them are punk properties."

Real-estate investment crazes have come and gone. In the 1970s, REITs blossomed to \$20 billion, then crashed. In the 1980s, some \$70 billion of property partnerships were sold before tax laws changed and values collapsed. As a result, REITs retain "something of a bad name historically," says

Insurance companies, banks and other financial institutions are dumping properties at prices which offer buyers cash yields of 9% or more, Mr. Rainwater says. Many of the properties were taken back in foreclosures when the former owners couldn't pay their debts after commercial property values plunged by 30% to 50%.

At the same time, yield-hungry individual investors who have seen money-market interest rates collapse to 3% or less are snapping up REITs at prices that offer cash-dividend yields of 6.5% or so.

The result of the yield differential: Properties worth \$100 at 9% yields in distress situations can be sold for the equivalent of \$120 when they become part of REITs yielding 6.5%.

REITs' market value has already soared to \$25 billion today, from \$6 billion three years ago.

"There's this giant, incredible movement of masses of real estate from the historic providers of capital," says Mr. Rainwater. His prediction: "Hundreds of billions of dollars will ultimately be transferred to the public markets."

David J. Kostin of Salomon Brothers Inc. says insurance companies, pension funds and foreign companies "have faded from sight" as direct buyers, while REITs spent more than \$1 billion on acquisitions in this year's first half alone.

Wall Street itself has also geared up for REITs big-time. The commanding leader with a 45% share of this year's offerings is Merrill Lynch & Co., whose Richard Saltzman has exploited the firm's huge sales force of retail brokers.

Mr. Saltzman says more than 100 developers have approached Merrill about doing offerings. He says typical underwriting commissions and fees for new REIT issues run about 7% of the deals' value, above average for initial public offerings, reflecting the "complexity and difficulty of putting deals together."

Other firms are scrambling to secure their own position. Morgan Stanley Group Inc. assigned top-rated financial services analyst Eric Hemel to analyze REITs. The firm has told its institutional clients REITs aren't just a fad for individual investors. And Barton Biggs, its market strategist, recently told clients, "commercial real estate has the highest total projected return of any U.S. asset category."

As investors have piled in, many REIT prices have surged beyond the underlying value of their properties. A recent report by Morgan Stanley, for example, noted that as of mid-July, Kimco Realty Corp. was trading at a 27% premium to its liquidation value.